



REALITY CHECKLIST

The recession has impacted those who give the IPL its cash

- The IPL itself has only finalised three out of its six associate sponsors. Real estate firms have pulled out from shirt sponsorships of at least two teams.
- Teams are getting tighter with their budgets. Most have cut down on peripheral expenses, rid themselves of expensive brand ambassadors.
- Franchises have been re-strategising around their marketing drives, concentrating their marketing drives on specific areas like ticket sales or building their fan base.
- Sony say that sponsors are flocking to the IPL but industry insiders say that the reported ad spot rates of Rs 4 lakh per 10 seconds is too steep.

MODI AND SHETTY AT THE SECOND IPL AUCTION HELD IN GOA

AFTER GETTING A SHARE OF AROUND RS 40 CRORE EACH FROM THE IPL POOL, TEAMS ARE FINDING IT DIFFICULT TO RAISE OTHER SPONSORSHIP FUNDS TO COVER THEIR RUNNING COSTS.

proof, not even governments. The slow-down has affected sentiments." Manoj Badale, chairman and joint owner, Rajasthan Royals, agrees because, "Sponsorship and advertising dollars have to feed the IPL ecosystem." Yet the success of Season 1 and long-term media deals has led, Badale believes, to "recession-proofing".

One IPL watcher offers a cautionary analysis, "The only thing real about the IPL are the player contracts and the only two entities making money are cricketers and the BCCI." The operational costs of running an IPL team, depending on the franchise fee, range between Rs 80 crore and Rs 130 crore per year. After each receiving a share of central sponsorships and media rights (totalling just over Rs 40 crore) teams must source additional revenue from sponsorships, merchandising and ticket sales.

Additional sponsorships have thus become central to any franchise's financial fortunes. Teams on annual deals are now scrambling. If real estate, telecom and automobile were the biggest spenders in Season 1, only telecom remains relatively unscathed today. A media buyer says, "Don't expect the real estate firms to shell out money this year."

The IPL title sponsor, real estate majors DLF may have their own difficulties but are still on board. Elsewhere there has been a clean-out. KKR have lost their main shirt sponsor, HDIL, a deal worth 9 crore, and Deccan Chargers confirmed that another real estate group, Jaypee, will no longer advertise on their shirts. The Mumbai Indians are looking for a logo sponsorship for the front of the players' shirts (Mastercard goes on the back) which they expect to finalise soon.

One franchise executive describes the current environment, "People make calls and show interest, which is good, but if the environment was better, maybe the numbers we're talking would be bigger." There has also been a reshuffle of priorities. Delhi Daredevils' advertising push this season will concentrate purely on generating ticket sales. For Badale, a key priority now is to focus "on licensing and merchandising and to try and bring in additional sponsors".

Vijay Rekhi, president and managing director, United Spirits Limited, says the Challengers' marketing will centre around on 'fan engagement', for which his team firstly needed "to get its act together on the field. It is on the field where all our plans will get executed." Teams will not cut back on player salaries, but there is a strict watch on